UK: Cautious budget will stoke 2027 election talk

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Cautious budget will fuel speculation about an early 2027 election

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Chancellor John Healey’s 28 October budget will be an understated affair aimed at reassuring financial markets while global bond yields are rising, likely featuring modest tax rises to provide targeted and temporary support to ease cost-of-living pressures.
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Healey will reduce his headroom to remain within the fiscal rules to about £15 billion, while postponing crucial decisions on long-term defense and welfare budgets until next year’s government-wide spending review, probably in the autumn.
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Deferring those choices will boost speculation that Burnham is keeping the option of a 2027 general election in play, with Eurasia Group maintaining the odds of a 2027 contest at 35%.

The government is prioritizing stability over ambition in a “steady as you go” budget. Normally, governments talk up the annual budget and use it to showcase their policies. It is rare for ministers to underplay the package, and yet this is what Healey is doing ahead of delivering his first budget on 28 October. His priority is not to frighten the financial markets when global bond yields are rising; he will emphasize the need for stability, continuity, and resilience for a UK economy that has weathered the Iran war storm better than many expected. However, storm clouds are gathering: Higher-than-expected inflation will push up the government’s borrowing costs and halve the £23.6 billion headroom it had in March to stay within its fiscal rules.

Healey’s low-key approach worries some senior Labour figures, who are unimpressed by his planned budget centerpiece: giving local mayors a share of business rates and income tax revenue. Some fear an anticlimactic statement that could bring Prime Minister Andy Burnham’s honeymoon to a sudden halt. Burnham, closely involved in budget preparations, is privately urging Healey to inject more “hope” of better times ahead to reflect his own optimistic, people-pleasing tone.

Modest tax rises will fund targeted and temporary cost-of-living relief measures. This will be Healey’s answer to internal critics pushing for bolder moves. With the energy price cap expected to rise by 16% (£442 a year) in January, Healey will likely increase the £150 warm homes discount to households on

means-tested benefits but reject Energy Secretary Miatta Fahnbulleh's proposal to switch green levies from energy bills to general taxation. Rises in fuel duty due in the new year will probably be postponed.

Healey's biggest challenge is Labour's public spending straitjacket. He plans to show markets he is prepared to make cuts by switching some green energy spending to defense. However, he will delay crucial decisions on long-term defense and welfare budgets until next year's government-wide spending review, which may be pushed from June until the autumn to avoid an extra tax-raising budget in March. There is an intense internal debate over whether Healey should announce the "envelope" for total government spending for the next three years in this budget, as his predecessor Rachel Reeves penciled in a painful period of spending restraint just before the general election due in 2029. One Labour source predicted that the inherited squeeze would "now be even more bloody."

If, as expected, the government raises defense spending to 3% of GDP by 2030 and boosts health spending by 2.7% a year in real terms, it would need to cut other departmental budgets by 2% or raise £20 billion in additional taxes to preserve current levels. Announcing tight headline spending limits now would send markets a signal but might lack credibility as there is no appetite among Labour members of parliament (MPs) for cuts.

Headroom to remain within the fiscal rules will fall to about £15 billion. Healey will argue this is justified, as is deferring some decisions until next year amid Iran war uncertainty. However, the delays will fuel speculation that Burnham is keeping open the option of a 2027 general election, even though he insists he will wait until 2029. Eurasia Group continues to assign a 35% chance of a 2027 contest. An election next May would allow Labour to ditch its 2024 manifesto pledge not to raise income tax, national insurance, or VAT rates—before a spending review next autumn.

Specific measures will include reducing business rates, energy bills, and red tape for high street businesses. The chancellor will try to rebuild bridges with employers by tackling "the cost of business," funded by higher taxes on big online retailers. To reduce the one million NEETs (16-24 year-olds not in education, employment, or training), Healey may reverse Reeves's decision to lower the threshold at which employers start to pay national insurance on their workers' salaries.

The chancellor will likely reject calls by Labour MPs and some cabinet ministers to equalize capital gains tax (CGT) with income tax and raise the rates of CGT. He is expected to raise about £2 billion for his cost-of-living measures by raising the surcharge on banks—a soft target politically amid substantial bank profits. A leading option is to raise the surcharge from 3% to the 8% rate levied before being cut by the Conservatives. Still, Healey's cautious approach may be judged a missed opportunity by Labour MPs eager to see Burnham deliver on his pledge to make the biggest political and economic changes for 40 years.

Happy to discuss,

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